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King Yuan Electronics Co Ltd | Asia Pacific

AI revenue pushed out to 4Q26 and 2027

WHAT'S CHANGED

King Yuan Electronics Co Ltd (2449.TW)	From	To
Price Target	NT\$369.52	NT\$338.00

AlphaSignals Earnings Reaction

Weakens our thesis
Impact to our thesis

— **In-line**
Financial results versus consensus

↓ **Modest revision lower**
Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Slower R-Series XPU ramp drives revenue guidance cuts. However, 2027/28 revenue growth remains promising in view of AI demand. We cut our price target to NT\$338 but reiterate OW.

3Q26/2026 revenue guidance cut from slower R-series XPU ramp and lower test time:

Management cut 3Q26 revenue growth guidance from up 10-15% Q/Q to high single digits Q/Q because of a slower R-series XPU ramp at the largest customer.

The slower major product ramp also lowers the 3Q26 gross margin outlook to 36-38% vs. 39.5% in 2Q26. Our recent checks suggest R-series XPU final test time might ramp from 800-900 seconds, not much higher than the prior generation, partly driving the 2026 full-year revenue growth guidance cut from >40% Y/Y to up 36-38% Y/Y, in our view. However, the company remains optimistic about a 4Q26 margin rebound as the R-series XPU ramps.

2027e revenue growth remains strong at >40% Y/Y given the TPU/CPU growth

and shipment push-out: Despite the short-term headwind, management reiterates that AI demand in 2027 remains robust, including some shipments being pushed out from 2H26 to 2027. Our AI demand breakdown (see [Exhibit 3](#)) suggests extremely strong growth in both TPU and CPU demand in 2027, each accounting for 10-15% of total revenue. We believe CPU demand should more than double from 2026; MediaTek TPU is a new growth driver in 2027. We expect 2027 margin to be sustained above 40% given rising utilization and cost pass-through to customers.

Strong revenue rebound starting from 4Q26, suggest building positions on dips

before 4Q26: After a relatively muted 2Q26 and 3Q26, we expect a strong 4Q26 revenue rebound of 15-20% Q/Q, driven by: 1) R-series XPU ramp, 2) TPU ramp at both Broadcom and MediaTek, 3) Google CPU with new capacity, and 4) flagship smartphones. We suggest accumulating the stock ahead of 4Q26 if the share price drops from the guidance and test time miss.

Cut price target to NT\$338 (implies 25x 2027e EPS) – but stay OW: We cut our earnings forecast and price target in view of shipment push-outs and lower R-series XPU test time. We still view our implied target P/E as attractive vs. its 2025-2028e revenue CAGR of 35% and AI revenue exposure of 40-50% in 2027.

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King Yuan Electronics Co Ltd (2449.TW, 2449 TT)

Greater China Technology Semiconductors | Taiwan

Stock Rating	Overweight			
Industry View	Attractive			
Price target	NT\$338.00			
Up/downside to price target (%)	40			
Shr price, close (Aug 7, 2026)	NT\$242.00			
52-Week Range	NT\$350.00-111.90			
Sh out, dil, curr (mn)	1,230			
Mkt cap, curr (mn)	NT\$297,578			
Avg daily trading value (mn)	NT\$7,862			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	8.96	8.95	13.69	18.55
EPS (NT\$)§	8.94	9.29	14.62	19.85
Revenue, net (NT\$ mn)	34,934	47,683	67,303	87,546
EBITDA (NT\$ mn)	16,516	27,106	43,374	53,297
ModelWare net inc (NT\$ mn)	11,016	11,388	17,634	23,886
Div yld (%)	1.9	1.9	4.0	4.0
P/E**	26.3	27.0	17.7	13.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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KYEC XPU testing business updates

2Q26 in line; 3Q26 guidance missed: Both 2Q26 revenue and gross margin were largely in line with our estimates, but both 3Q26 revenue and margin guidance missed from slower AI product ramp. However, the company remains positive on a 4Q26 rebound in both areas.

Exhibit 1: KYEC: 2Q26 Earnings Review

(NT\$ mn)	2Q26				
	Actual	Q/Q	Y/Y	MS Est.	Consensus
Financials					
Revenue	11,142	9.3%	33.2%	11,246	11,203
Opex	(1,572)	23.0%	97.7%	(1,041)	(1,224)
EPS (NT\$)	2.04	15.2%	15.3%	2.30	2.07
Ratios					
GM (%)	39.5%	-25bps	396bps	39.8%	39.6%
Opex (%)	14.1%	157bps	460bps	9.3%	10.9%
OPM (%)	25.4%	-182bps	-64bps	30.5%	28.6%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Exhibit 2: KYEC: 3Q26 Outlook Review

(NT\$ mn)	3Q26				
	Guidance	MS Est.	Q/Q	Y/Y	Consensus
Financials					
Revenue	Up high-single % Q/Q	13,108	17.7%	41.1%	12,981
Opex		(1,161)	-26.1%	35.9%	(1,292)
EPS (NT\$)		2.80	37.3%	58.2%	2.49
GP		5,351	21.6%		5,207
Ratios					
GM (%)	36%-38%	40.8%	133bps	479bps	40.1%
OP		4,189			3,916
Opex (%)		8.9%	-525bps	-34bps	10.0%
OPM (%)		32.0%	658bps	514bps	30.2%

Source: Company data, Visible Alpha, Morgan Stanley Research estimates

Our detailed analysis of AI semi revenue contribution to KYEC: Overall, AI-related offerings contributed 25-30% to revenue in 2025; that may be >40% in 2026 (including TPU and chip probing). Our recent checks suggest that R-series XPU final test time might ramp from 800-900 seconds, not much higher than the prior generation.

Further, we break down the CPU demand from the major customer, including G-series and V-Series CPU. We expect sharp testing time improvement from c. 300 seconds to c. 700 seconds – CPU design and chip size are both getting more complicated as generation/geometry migrates for heavier AI inferencing and orchestration workload. Those CPUs also require burn-in for better performance.

Overall, we expect that B-series XPU could maintain momentum in 3Q26 despite the ramp-up of R-series. Combining the new products like 3nm TPU and 2nm smartphone SoC from MediaTek, we forecast strong revenue growth of >15% QoQ in 4Q26. Overall revenue from the largest customer should be more than 40% of KYEC's total revenue in 2026.

Exhibit 3: Major XPU testing time for KYEC

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e	2025	2026e	2027e
Units (k)											
H-series	650	200	250	500	400	400	600	600	1,600	2,000	
B-series with GDDR7	-	-	300	500	250	250	250	250	800	1,000	
B-series with HBM	1,000	1,100	1,400	1,500	1,500	1,500	1,600	300	5,000	4,900	560
R-series							500	1,500		2,000	6,500
G-series CPU									1,100	2,450	250
V-series CPU										2,500	5,750
Google TPU									1,750	3,680	6,000
Google CPU										1,500	3,000
Test time											
Per chip test time (seconds)											
H-series test time	350	350	350	350	350	350	350	350	350	350	350
B-series with GDDR7 test time			350	350	350	350	350	350	350	350	350
B-series with HBM test time	700	750	900	1,000	1,000	1,000	850	850	1,000	850	850
R-series test time							850	850		850	1,275
G-series CPU test time									300	300	300
V-series CPU test time										700	700
Google TPU blended test time									186	340	450
Google CPU test time										300	300
Total test demand (k hrs)											
H-series	63	19	24	49	39	39	58	58	156	194	-
B-series with GDDR7			29	49	24	24	24	24	78	97	-
B-series with HBM	194	229	350	417	417	417	378	71	1,190	1,282	132
R-series					-	-	118	354		472	2,302
G-series CPU									92	204	21
V-series CPU										486	1,118
Google TPU									90	348	750
Google CPU										125	250
Test hour rate (for the largest customer including burn-in)											
Test hour rate (for TPU with self-bought testers)											
	170	170	170	170	170	170	180	190	170	178	200
									200	250	280
Largest customer's AI revenue to KYEC (US\$ mn)	43.8	42.3	68.6	87.4	81.6	81.6	104.1	96.5	257.6	486.3	714.6
% of KYEC MSe Revenue (quarterly figures without CPU)	19%	15%	23%	27%	25%	23%	27%	21%	23%	32%	33%
TPU revenue to KYEC (US\$ mn)									18.1	86.9	210.0
% of KYEC MSe Revenue									1-6%	5-7%	9-7%
Google CPU revenue to KYEC (US\$ mn)										31.3	70.0
% of KYEC MSe Revenue										2-0%	3-2%

Source: Company data, Morgan Stanley Research estimates; Note: Table not includes CP revenue contribution

Strong Google TPU demand: In our prior [MediaTek](#) report, we mentioned that we have observed demand upside from Google TPU, contributing strong revenue growth for KYEC in 2026 and 2027. We now forecast total TPU shipments of 3.7mn for 2026 and >7mn for 2027. We believe TPU could account for 7-8% of KYEC's 2026 total revenue and slightly above 10% of 2027's, including final testing and part of chip probing. In addition, MediaTek's TPU will also adopt burn-in for its 3nm AI ASIC, which we believe will be the trend for those AI chips – burn-in and longer testing times are adopted to ensure chip performance.

Strong Google CPU demand too: In our previous [GUC](#) report, we mentioned that the raised demand forecast is not just for Google TPU but CPU as well. We now forecast Google CPU shipments of 1.5mn in 2026 and 3mn units in 2027. Our checks also indicate that this Google CPU requests burn-in and system-level testing, which we believe could generate 3-4% of 2027 revenue.

To sum up, we now forecast that Google-related demand could account for 10-15% of KYEC's 2027 total revenue, including TPU, CPU, final testing, and part of chip probing (vs. 8-10% of total revenue in 2026).

Exhibit 4: Strong TPU shipments could contribute >10% of revenue in 2027

k Units	2023	2024	2025e	2026e	2027e	2028e
v5	500	2,400	250			
v6 (Trillium)			1,200			
v7 (Ironwood, by Broadcom)			300	2,300	200	
v8i (Sunfish; 3nm, by Broadcom)				900	4,000	2,500
v8t (Zebrafish; 3nm, by MediaTek)				500	3,000	1,000
v9 (Humufish; 2nm, by MediaTek)					150	3,000
v9a (Merope; 2nm, by US design service)						unknown
v10 (Icefish; 1.4nm, by MediaTek)						unknown
Total	500	2,400	1,750	3,700	7,350	>6500

Source: Morgan Stanley Research estimates

High capex to meet customers' needs and future growth: The OSAT industry continues to face challenges in keeping up with the robust growth: Looking back at 2025, KYEC had already raised its capex twice, to NT\$37bn. Now, with another jump in 2026 to NT\$50bn, the message is clear: testing demand is remarkably strong. We don't rule out KYEC's maintaining high capex into 2027. We believe testing demand from the major customer in both Taiwan and the US is growing robustly.

For a breakdown of the NT\$50bn capex, here are our assumptions:

- 50% – construction/clean room build
- 20-30% – testers
- 5-15% – probers and handlers
- 5-15% – burn-in
- 5-10% – others

KYEC can sustain its high market share in AI chip final testing

ASEH (3711.TW, also OW-rated) will depend on Advantest's burn-in tool, and become a minor second source (<20%) for major customer final testing in 2026, in our view. ASE is also running out of capacity; most of what it has already is busy with chip probing (higher margin than final test). Its cost structure for burn-in is also much higher than KYEC's, which designs its own burn-in ovens. We expect ASE's testing revenue opportunity to come mostly from wafer-sorting (or chip-probing) outsourced from TSMC.

All in all, KYEC still has high market share in overall AI final testing demand, thanks to strength from both AI GPUs and ASICs. We estimate that its AI-related testing business will account for >40% of 2026 consolidated revenue, including the new business in AI ASIC testing, such as Google TPU (v8).

Earnings estimate revisions

We cut our EPS estimates 6% for 2026, 5% for 2027, and 3% for 2028: This reflects AI revenue push-out and lower-than-expected test time.

Exhibit 5: KYEC: Earnings estimate revisions

(NT\$ mn)	New 2026e	Old 2026e	Diff.%	New 2027e	Old 2027e	Diff.%	New 2028e	Old 2028e	Diff.%
Net sales	47,683	49,090	-3%	67,303	69,955	-4%	87,546	91,959	-5%
Gross profit	19,106	19,875	-4%	27,817	28,967	-4%	37,330	38,221	-2%
Operating profit	13,675	14,884	-8%	21,559	22,515	-4%	29,260	29,933	-2%
Pretax income	14,044	15,031	-7%	21,769	22,718	-4%	29,488	30,154	-2%
Net income	11,388	12,238	-7%	17,634	18,498	-5%	23,886	24,552	-3%
Reported EPS	8.95	9.49	-6%	13.69	14.34	-5%	18.55	19.03	-3%
Margins									
Gross margin	40.1%	40.5%		41.3%	41.4%		42.6%	41.6%	
Opex ratio	11.4%	10.2%		9.3%	9.2%		9.2%	9.0%	
Operating margin	28.7%	30.3%		32.0%	32.2%		33.4%	32.6%	
Pretax margin	29.5%	30.6%		32.3%	32.5%		33.7%	32.8%	
Net margin	23.9%	24.9%		26.2%	26.4%		27.3%	26.7%	

Source: Morgan Stanley Research estimates

Valuation methodology

We cut our price target from NT\$369.52 to NT\$338: We continue to derive our price target (our base case scenario value) from a residual income model. Along with our earnings estimate cut, our revised price target mostly reflects a cut in our intermediate growth rate from 11.5% to 10.5% because of the lower test time from the major product. Our other key valuation assumptions are the same: a cost of equity of 9.8% (risk premium of 6%, risk-free rate of 2%, and beta of 1.3), and terminal growth rate of 3.0%.

Our bull case value declines from NT\$475 to NT\$415 and our bear case increases from NT\$245 to NT\$215, implying 30x and 15x our 2027e EPS, respectively.

Exhibit 6: KYEC: Residual income model

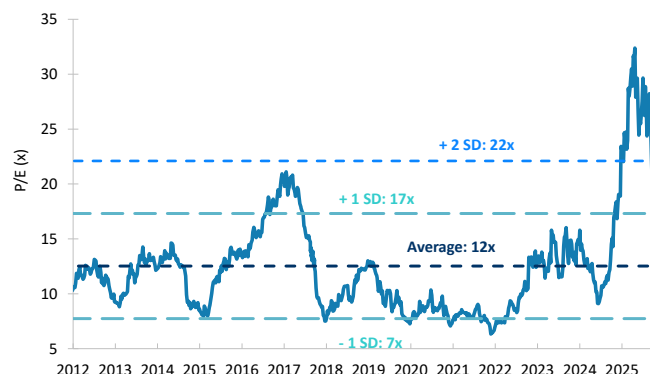
(NT\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	56,318	68,258	83,327	90,504	98,434	107,197	116,880	127,579	139,402	152,467	166,903	182,855
Net Profit	11,388	17,634	23,886	26,394	29,166	32,228	35,612	39,351	43,483	48,049	53,094	58,669
ROAE	21.3%	28.3%	31.5%	30.4%	30.9%	31.3%	31.8%	32.2%	32.6%	32.9%	33.2%	33.5%
Residual Income	5,818	10,425	14,822	17,139	20,743	23,096	25,697	28,571	31,747	35,258	39,138	43,425
Spread	11.5%	18.5%	21.7%	20.6%	21.1%	21.5%	22.0%	22.4%	22.8%	23.1%	23.4%	23.7%
Ending Equity Capital	56,318											
PV of Forecast Period	138,587											
PV of Continuing Value	235,202											
Equity Value	430,107											
No. of Shares	1,273											
Projected Price (NT\$)	338											

Source: Company data, Morgan Stanley Research (e) estimates

Relative valuation

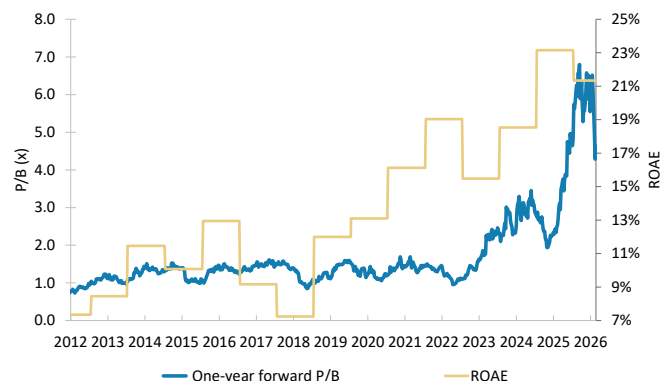
Our price target implies a target multiple of 25x based on our 2027 EPS estimate, which we consider to be well justified by the revenue CAGR of >30% that we project over 2025-28, with significantly higher AI earnings exposure in 2026 and beyond. We expect KYEC's gross margin profile to expand with increasing AI testing revenue exposure.

Exhibit 7: KYEC: One-year forward P/E chart



Source: Company data, TEJ, Morgan Stanley Research estimates

Exhibit 8: KYEC: One-year forward P/B vs. ROAE chart



Source: Company data, TEJ, Morgan Stanley Research estimates

Exhibit 9:

KYEC: Quarterly financials

(NT\$ mn)	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	2025	2026e	2027e	2028e
Total Revenues	10,192	11,142	12,079	14,271	15,076	16,117	17,493	18,617	34,934	47,683	67,303	87,546
Q/Q %	2.3%	9.3%	8.4%	18.2%	5.6%	6.9%	8.5%	6.4%				
Y/Y %	39.3%	33.2%	30.0%	43.2%	47.9%	44.7%	44.8%	30.5%	30.1%	36.5%	41.1%	30.1%
Cost of Sales	(6,141)	(6,742)	(7,483)	(8,212)	(8,954)	(9,476)	(10,165)	(10,890)	(22,411)	(28,578)	(39,485)	(50,216)
Percent of Revenues	60.3%	60.5%	62.0%	57.5%	59.4%	58.8%	58.1%	58.5%	64.2%	59.9%	58.7%	57.4%
Gross Profit before dep and amort	6,472	7,043	7,547	9,850	9,073	9,592	10,279	17,964	19,390	30,912	46,908	58,353
Percent of Revenues	63.5%	63.2%	62.5%	69.0%	60.2%	59.5%	58.8%	96.5%	55.5%	64.8%	69.7%	66.7%
Gross Profit	4,051	4,400	4,596	6,060	6,122	6,640	7,327	7,728	12,522	19,106	27,817	37,330
Gross Margin	39.7%	39.5%	38.0%	42.5%	40.6%	41.2%	41.9%	41.5%	35.8%	40.1%	41.3%	42.6%
Incremental Margins												
Total Opex	(1,279)	(1,572)	(1,092)	(1,488)	(1,458)	(1,509)	(1,615)	(1,677)	(3,520)	(5,430)	(6,258)	(8,071)
Percent of Revenues	12.5%	14.1%	9.0%	10.4%	9.7%	9.4%	9.2%	9.0%	10.1%	11.4%	9.3%	9.2%
R&D	(307)	(272)	(278)	(288)	(357)	(332)	(338)	(318)	(930)	(1,145)	(1,345)	(1,680)
Percent of Revenues	3.0%	2.4%	2.3%	2.0%	2.4%	2.1%	1.9%	1.7%	2.7%	2.4%	2.0%	1.9%
Sales and Marketing	(98)	(145)	(157)	(200)	(196)	(210)	(227)	(242)	(464)	(600)	(875)	(1,138)
Percent of Revenues	1.0%	1.3%	1.3%	1.4%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%	1.3%
General and Admin	(873)	(1,155)	(657)	(1,000)	(905)	(967)	(1,050)	(1,117)	(2,126)	(3,686)	(4,038)	(5,253)
Percent of Revenues	8.6%	10.4%	5.4%	7.0%	6.0%	6.0%	6.0%	6.0%	6.1%	7.7%	6.0%	6.0%
Operating Income	2,772	2,828	3,504	4,572	4,664	5,132	5,713	6,051	9,003	13,675	21,559	29,260
Operating margin	27.2%	25.4%	29.0%	32.0%	30.9%	31.8%	32.7%	32.5%	25.8%	28.7%	32.0%	33.4%
Total Non-operating Income	36	248	38	47	54	57	49	50	1,626	369	210	228
Profit Before Taxes	2,808	3,076	3,541	4,619	4,718	5,189	5,762	6,101	10,629	14,044	21,769	29,488
Percent of Revenues	27.6%	27.6%	29.3%	32.4%	31.3%	32.2%	32.9%	32.8%	30.4%	29.5%	32.3%	33.7%
Taxes	(522)	(584)	(673)	(877)	(896)	(986)	(1,095)	(1,159)	(2,624)	(2,656)	(4,135)	(5,602)
Tax Rate	18.6%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	19.0%	24.7%	18.9%	19.0%	19.0%
Net Income, Cont Ops	2,287	2,492	2,869	3,741	3,822	4,203	4,667	4,942	8,005	11,388	17,634	23,886
Reported Income (TW GAAP)	2,287	2,492	2,869	3,741	3,822	4,203	4,667	4,942	11,016	11,388	17,634	23,886
Percent of Revenues	22.4%	22.4%	23.8%	26.2%	25.3%	26.1%	26.7%	26.5%	31.5%	23.9%	26.2%	27.3%
Change vs Year Ago	-46.7%	14.5%	24.6%	66.4%	67.1%	68.7%	62.7%	32.1%	41.6%	3.4%	54.8%	35.5%
ModelWare EPS (NT\$)	1.86	1.93	2.23	2.91	2.97	3.26	3.62	3.84	8.96	8.95	13.69	18.55
Basic shares (mn units)	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223
Diluted	1,227	1,288	1,288	1,288	1,288	1,288	1,288	1,288	1,230	1,273	1,288	1,288
Basic period End share	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223	1,223

Source: Company data, Morgan Stanley Research (e) estimates.

Risk Reward – King Yuan Electronics Co Ltd (2449.TW)

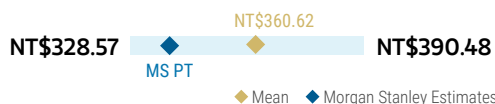
AI revenue pushed out to 4Q26/2027

PRICE TARGET NT\$338.00

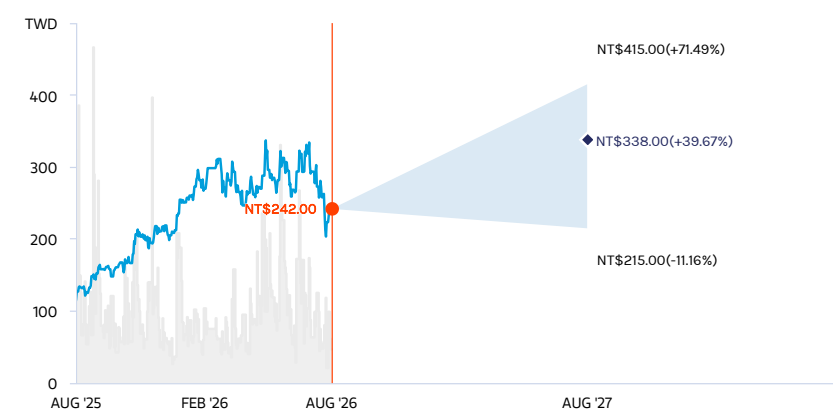
Base case, residual income model. Key assumptions: cost of equity of 9.8%, intermediate-term growth rate of 10.5%, terminal growth rate of 3.0%, and cash dividend payout ratio of 65%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



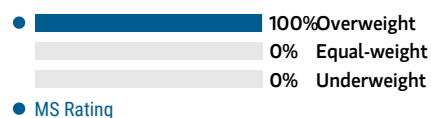
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- 3Q26/2026 revenue guidance has been cut from slower R-series XPU ramp and lower test time:
- However, despite the short-term headwind, management reiterates that AI demand in 2027 remains robust, including some shipments being pushed out from 2H26 to 2027.
- Our AI demand breakdown suggests extremely strong growth in both TPU and CPU demand in 2027, each accounting for 10-15% of total revenue.
- We expect 2027 margin to be sustained >40% given rising utilization and cost pass-through to customers.
- Our price target implies 25x 2027e EPS, justified by our 2025-28e revenue CAGR of >35%. We see re-rating potential given structural GM improvement and continued pickup in AI revenue and earnings growth.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Pricing Power: *Positive*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$415.00

30x 2027e EPS

Strong semiconductor cycle after macro uncertainties have eased: 1) AI testing demand continues to surprise to the upside, with AI GPU testing market share remaining stable before 2027. 2) 5G progress is faster than in our base case, leading to higher mmWave testing demand. 3) IDM outsourcing to OSAT is faster than expected, notably in 5G and AI-related testing demand. 4) US/China tensions ease. 5) Consumer/smartphone testing demand is stronger than expected.

BASE CASE

NT\$338.00

24x 2027e EPS

Strong HPC and auto demand offset by weak consumer semi testing demand: 1) AI GPU testing market share remains stable. 2) Longer testing time of 5G SoC and increasing penetration of 5G smartphone help KYEC's smartphone SoC testing business to offset a bit of unit decline in 2026. 3) HPC and automotive customers testing demand stays healthy in 2026, thanks to longer testing times for GPUs and FPGAs. 4) More normalized non-AI testing demand in 2026.

BEAR CASE

NT\$215.00

15x 2027e EPS

US-China trade tensions linger, coupled with inventory correction: 1) A sluggish 5G smartphone penetration rate hampers 5G smartphone demand. 2) Logic semi inventory correction persists longer than expected. 3) Testers are severely underutilized, leading to significant margin contraction. 4) Meaningful AI GPU testing market share loss before 2026.

Risk Reward – King Yuan Electronics Co Ltd (2449.TW)

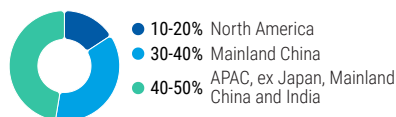
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Wafer Sort revenue (NT\$, mn)	2,624	2,793	2,393	3,010
Final Test revenue (NT\$, mn)	3,781	3,757	3,294	5,989
Burn-In revenue (NT\$, mn)	171	180	479	767

INVESTMENT DRIVERS

- 5G smartphone shipment/penetration rate
- Gross margin improvement/erosion
- China's semiconductor localization demand

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Rise in shipments for core customers such as MediaTek
- Strong AI demand from both GPU and ASIC
- Penetration of wafer sorting business
- Rise in IDM outsourcing to OSAT

RISKS TO DOWNSIDE

- Overall non-AI demand remaining weak
- Significant testing market share loss
- Drop in shipments for core customers such as MediaTek

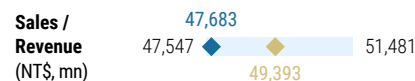
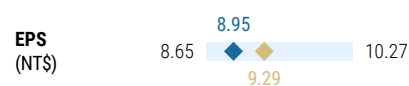
OWNERSHIP POSITIONING

Inst. Owners, % Active 60.8%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial summary

Exhibit 10: Financial Summary

Income Statement

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Net sales	34,934	47,683	67,303	87,546
COGS	(22,411)	(28,578)	(39,485)	(50,216)
Depreciation Expense	(6,865)	(10,763)	(18,048)	(19,980)
Variable Cost	(15,547)	(17,814)	(21,437)	(30,236)
Gross profit	12,522	19,106	27,817	37,330
Operating expenses	(3,520)	(5,430)	(6,258)	(8,071)
Operating income	9,003	13,675	21,559	29,260
Non-operating income	1,626	369	210	228
Pre-tax income	10,629	14,044	21,769	29,488
Income tax	387	(2,656)	(4,135)	(5,602)
Reported net income	11,016	11,388	17,634	23,886
Adj.wtd.avg.shrs(m)	1,230	1,273	1,288	1,288
Basic EPS (NT\$)	9.01	9.31	14.42	19.53
EPS for consensus (NT\$)	8.96	8.95	13.69	18.55

Balance Sheet

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Cash	17,964	4,205	2,844	11,646
Mkt Securities	0	0	0	0
AR/NR	7,203	9,669	13,647	17,752
Inventory	1,332	3,279	4,629	6,021
Other	2,420	1,560	1,858	2,166
Current Assets	28,919	18,714	22,978	37,586
Long-term investments	8,416	8,452	8,488	8,524
Fixed assets	60,554	98,166	112,394	114,399
Other assets	3,289	2,246	1,203	160
Total Assets	101,178	127,578	145,063	160,669
S/T borrowings	0	20,000	25,000	25,000
AP/NP	909	1,429	1,974	2,511
Other ST liabilities	15,010	15,010	15,010	15,010
LT debt	30,275	30,275	30,275	30,275
Other LT liabilities	4,546	4,546	4,546	4,546
Total Liabilities	50,740	71,260	76,805	77,342
Common stocks	12,227	12,227	12,227	12,227
Preferred stocks	0	0	0	0
Capital Researve	5,081	5,081	5,081	5,081
Retained earning	33,121	39,001	50,941	66,010
Other shareholders' equity	0	0	0	0
Total Equity	50,438	56,318	68,258	83,327
Total Liab. & Shrhldr's Equity	101,178	127,578	145,063	160,669

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Cashflow from Operations	13,152	21,750	34,332	42,620
Net profits	11,016	11,388	17,634	23,886
Depreciation	7,508	12,388	20,772	22,995
Working Capital Change	(2,028)	(3,894)	(4,782)	(4,961)
Other adjustments	(3,344)	1,868	709	699
Cashflow from Investing	(13,078)	(50,000)	(35,000)	(25,000)
Capex	(31,732)	(50,000)	(35,000)	(25,000)
Change of LT Investment	18,652	0	0	0
Change of ST Investment	52	0	0	0
Other adjustments	(50)	0	0	0
Cashflow from financing	4,613	14,492	(694)	(8,817)
Increase in L/T debt	9,918	0	0	0
Increase in S/T debt	0	20,000	5,000	0
Cash Dividend Paid	(4,891)	(5,508)	(5,694)	(8,817)
Dir& Emp Bonus Paid	0	0	0	0
Other adjustments	(414)	0	0	0
Exchange rate adjustment	(326)	0	0	0
Net change in cash	4,361	-13,758	-1,362	8,803

Financial Ratios

	2025	2026e	2027e	2028e
Growth(%)				
Turnover	30.1	36.5	41.1	30.1
Operating profits	45.9	51.9	57.6	35.7
Pretax profits	78.0	32.1	55.0	35.5
Net profits	41.6	3.4	54.8	35.5
EPS	41.5	-0.1	53.0	35.5
Margins (%)				
Gross Margin	35.8	40.1	41.3	42.6
Operating Margin	25.8	28.7	32.0	33.4
EBITA Margin	45.4	51.3	58.8	56.2
Pretax Margin	30.4	29.5	32.3	33.7
Net Profit	31.5	23.9	26.2	27.3
Return (%)				
ROAE	23.2	21.3	28.3	31.5
ROAA	11.7	10.0	12.9	15.6
Gearing (%)				
Net Debt/Equity	(35.6)	28.0	32.5	16.0
Liabilities/Equity	100.6	126.5	112.5	92.8
Ratios (X)				
Current ratio	1.8	0.5	0.5	0.9
Quick ratio	1.6	0.4	0.4	0.7
Others				
AR/NR Turnover (days)	74	74	74	74
Inventory Turnover (days)	16	12	18	21
AP Turnover (days)	18	18	18	18
Cash Conversion (days)	72	68	73	77

Valuation Methodology and Risks

ASE Technology Holding Co. Ltd. (3711.TW)

Base case, residual income model. Key assumptions: cost of equity of 9.8%, intermediate growth rate of 9.0%, terminal growth rate of 3.0%, and cash dividend payout ratio of 60%.

Risks to Upside

- Stronger-than-expected global economic and semiconductor growth
- Margin expansion through merger consolidation
- New wearables project wins with higher margins

Risks to Downside

- Slower-than-expected global economic and semiconductor growth
- Further margin erosion amid price competition
- Lack of new features in wearables, causing consumers to lose interest

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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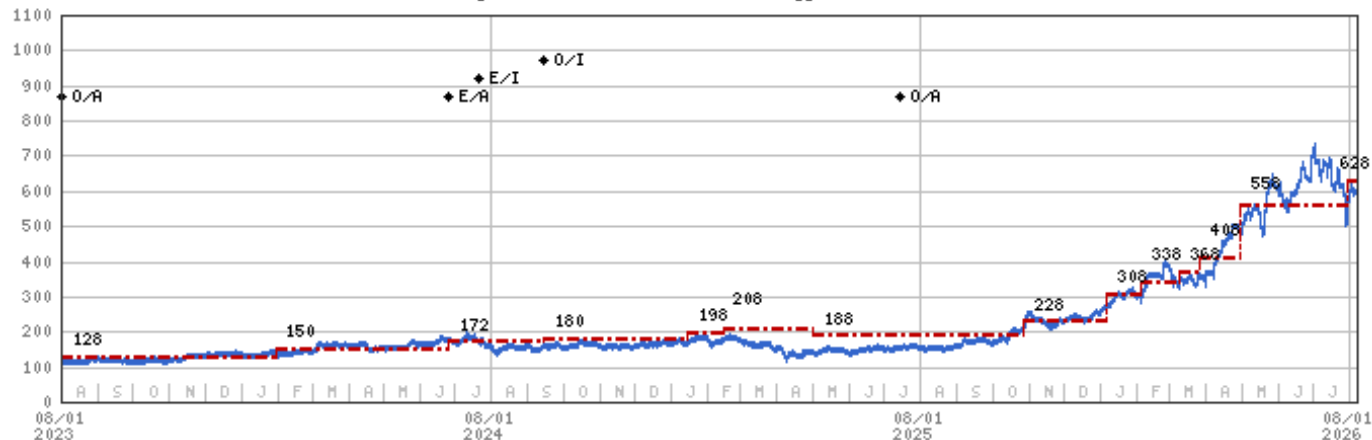
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

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Stock Price, Price Target and Rating History (See Rating Definitions)

ASE Technology Holding Co. Ltd. (3711.TW) - As of 08/07/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : E/C; 10/4/22 : E/A; 2/22/23 : E/I; 7/7/23 : O/A; 6/25/24 : E/A; 7/21/24 : E/I;
9/15/24 : O/I; 7/14/25 : O/A

Price Target History: 7/30/21 : 128; 10/12/21 : 108; 7/12/22 : 90; 7/28/22 : 98; 7/7/23 : 128; 1/30/24 : 150; 6/25/24 : 172;
9/15/24 : 180; 1/15/25 : 198; 2/14/25 : 208; 5/1/25 : 188; 10/28/25 : 228; 1/7/26 : 308; 2/5/26 : 338; 3/9/26 : 368; 3/27/26 : 408;
4/30/26 : 558; 7/30/26 : 628

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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King Yuan Electronics Co Ltd (2449.TW) - As of 08/07/26 GMT in TWD
Industry : Greater China Technology Semiconductors



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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/07/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$78.98
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb367.65
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$111.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,715.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$585.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,199.93
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$4,545.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$872.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$438.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$141.20
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$478.40
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$242.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb78.02
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,900.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb729.08
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$457.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb751.99
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb89.76
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,020.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb111.68
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$441.50
SMIC (0981.HK)	O (10/21/2025)	HK\$66.90
TSMC (2330.TW)	O (02/07/2022)	NT\$2,370.00
UMC (2303.TW)	O (05/19/2026)	NT\$116.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$143.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$366.00

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$161.60
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb61.21
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb94.69
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb32.55
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb295.75
Innoscence (2577.HK)	E (10/13/2025)	HK\$44.92
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb77.75
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.98
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb102.49
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb88.53
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb67.22
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb27.61
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb96.93

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$951.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,400.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$16,345.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$99.60
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$141.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb112.06
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb417.05
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$121.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$269.20
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb215.52
Novatek (3034.TW)	U (02/04/2026)	NT\$542.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$120.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$598.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$65.50
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$750.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb52.09
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$163.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$122.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$211.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb115.98
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb386.60

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,130.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$582.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.76
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,320.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$6,100.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$267.43
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,760.00

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